Harborview Partners Holdings, Inc. (XTE) - Form 10-K

FY2025

Harborview Partners Holdings, Inc.

Form 10-K for the Fiscal Year Ended 2025

Ticker: XTE | Sector: Industrials | HQ: Virginia

> **NOTE:** This is a synthetic filing generated for a RAG-evaluation benchmark dataset. Harborview Partners Holdings, Inc. is a fictional company; it does not exist. Every figure below is internally consistent and traceable to this project's computed financial statements, but nothing here describes a real company, and it should not be treated as an actual SEC filing.

Item 1. Business

Introduction

Harborview Partners Holdings, Inc. ("Harborview," "we," "our," or "us") is an aerospace and defense technology company headquartered in Virginia. We design, develop, and manufacture products and systems for U.S. and international defense and government customers, including aerospace systems, mission systems, and related technologies. For the fiscal year ended December 31, 2025, we generated revenue of $58,767.2 million.

Our Business

We operate across multiple aerospace and defense product lines, serving primarily the U.S. Department of Defense and intelligence community, supplemented by international defense customers and, to a lesser extent, commercial aerospace customers. A substantial portion of our growth over time has come through the acquisition of complementary technology and systems businesses; goodwill represented approximately 38.0% of our total assets at year end.

Government Contracts

Our government contracts are subject to standard terms allowing for termination for convenience, audit, and renegotiation, and our revenue depends in part on future government budget authorizations and appropriations for national security priorities.

Research and Development

We invest in research and development to support current and future programs, reflecting the technology-intensive nature of our product lines.

Human Capital Resources

We employ a workforce of engineering, manufacturing, and program-management personnel, a portion of which require government security clearances to perform contract work. We believe our relationships with our employees are good.

Competition

The aerospace and defense industry is highly competitive, with a small number of large prime contractors and a broader base of specialized suppliers. We compete on the basis of technical capability, program performance, cost, and past performance.

Item 1A. Risk Factors

Risks Related to Government Contracting

A substantial portion of our revenue depends on U.S. government budgets and appropriations. Reductions in defense spending, delays in the budget or appropriations process, or shifts in defense priorities could reduce demand for our products or delay or terminate programs on which we rely.

Our government contracts can generally be terminated for the government's convenience and are subject to audit and renegotiation. A termination for convenience, an unfavorable audit finding, or a failure to perform on a key program could adversely affect our revenue, profitability, and reputation.

Risks Related to Acquisitions and Goodwill

We have grown in part through acquisitions, and goodwill represented approximately 38.0% of our total assets as of December 31, 2025. A significant impairment of our goodwill, resulting from a deterioration in the performance or outlook of an acquired business, could adversely affect our results of operations.

Risks Related to Our Operations

Our programs often involve complex engineering, manufacturing, and supply chain execution over multi-year periods. Design, manufacturing, or supply chain difficulties could result in cost overruns, schedule delays, or contract penalties.

Risks Related to Competition

The aerospace and defense industry is highly competitive, with a small number of large prime contractors and a broader base of specialized suppliers. Our inability to win new programs or retain existing ones could adversely affect our revenue and growth.

Risks Related to Our Financial Position

We had approximately $23,478.0 million of short-term and long-term debt outstanding as of December 31, 2025. Our level of indebtedness could limit our financial flexibility and increase our vulnerability to adverse changes in interest rates.

Risks Related to Cybersecurity and Information Technology

Our business, including information related to government and defense programs, depends on the security of our information technology systems. As described in Item 1C, "Cybersecurity," while we have not experienced a material cybersecurity incident to date, a future incident could disrupt our operations, compromise sensitive program information, and result in remediation costs, contract impacts, litigation, or reputational harm.

General Risk Factors

Our quarterly and annual operating results may fluctuate based on the timing of program milestones, deliveries, and government funding actions.

Item 1C. Cybersecurity

Cybersecurity Program

We maintain a cybersecurity program informed by ISO/IEC 27001 that is designed to identify, assess, and manage risks from cybersecurity threats to our information systems, including information related to our government and defense programs.

Our program includes continuous monitoring of our information technology environment, periodic risk assessments, vulnerability scanning and penetration testing, employee security-awareness training, and a formal incident response plan that establishes procedures for identifying, escalating, containing, and remediating cybersecurity incidents. We also assess the cybersecurity practices of third-party suppliers and service providers that have access to our systems or data.

Cybersecurity Risks

We have not experienced a material cybersecurity incident to date. Given the nature of our business, we are a target of persistent cybersecurity threats, and a future incident affecting our systems or those of our suppliers could disrupt our operations, compromise sensitive program information, and result in remediation costs, litigation, or reputational harm. See Item 1A, “Risk Factors,” for additional discussion of cybersecurity-related risks.

Governance

Our full Board of Directors, with support from the Audit Committee, oversees our cybersecurity risk management program. Management provides the Board and the Audit Committee with periodic updates on our cybersecurity program, including the results of risk assessments and the status of our security initiatives.

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

Overview

Harborview Partners Holdings, Inc. is an aerospace and defense technology company. For the fiscal year ended December 31, 2025, we generated revenue of $58,767.2 million, operating income of $6,422.3 million (an operating margin of 10.9%), and net income of $6,153.0 million (a net margin of 10.5%).

Results of Operations

The following table summarizes our results of operations for the fiscal year ended December 31, 2025 (in millions, except percentages; amounts may not sum due to rounding):

Line item	Amount	% of total
Revenue	$58,767.2	100.0%
Research and development expenses	1,381.1	2.4%
Other operating costs, net	50,963.8	86.7%
Operating income	6,422.3	10.9%
Income tax expense	269.4	0.5%
Net income	6,153.0	10.5%

Our cost structure reflects the program-based nature of our business; the substantial majority of our costs relate to materials, labor, and overhead incurred directly on customer programs, which are not broken out separately from other operating costs above. Our effective tax rate for the year was 4.2%, below the 21% U.S. federal statutory rate, primarily reflecting the impact of research and development tax credits and other tax benefits.

Liquidity and Capital Resources

We generated $7,284.6 million of cash from operating activities during 2025, reflecting net income of $6,153.0 million and depreciation and amortization of $2,327.8 million, partly offset by changes in working capital. We used $1,803.0 million of cash in investing activities, primarily capital expenditures of $2,253.3 million, partly offset by other investing inflows. Financing activities used $4,266.2 million of cash, primarily reflecting $2,599.8 million used for share repurchases and other financing outflows. Taken together, our cash and cash equivalents increased by $1,215.5 million during the year.

As of December 31, 2025, we had total debt of approximately $23,478.0 million and stockholders' equity of $25,288.4 million. We believe our cash flow from operations, together with access to the credit and capital markets, will be sufficient to fund our operating needs, capital expenditures, and shareholder distributions for at least the next twelve months.

Critical Accounting Estimates

Goodwill. Goodwill, which represented approximately 38.0% of our total assets as of December 31, 2025, is tested for impairment at least annually. These tests require us to estimate the fair value of our reporting units, which involves significant judgment regarding future cash flows and discount rates.

Revenue Recognition on Long-Term Contracts. A substantial portion of our revenue is recognized over time as we perform under long-term government and commercial contracts. Measuring progress toward completion requires significant judgment.

Recent Accounting Pronouncements

See the notes to our consolidated financial statements in Item 8 for a discussion of recently issued accounting pronouncements and their expected effect on our consolidated financial statements.

Item 8. Financial Statements and Supplementary Data

Report of Management

The accompanying consolidated financial statements present the financial position, results of operations, and cash flows of Harborview Partners Holdings, Inc. for the fiscal year ended December 31, 2025. All dollar amounts below tie directly to the figures in this filing's underlying financial data and are presented in millions, except per-share data, unless otherwise noted; amounts may not sum exactly due to rounding.

Consolidated Balance Sheet (in millions)

Assets

Line item	Amount
Cash and cash equivalents	$5,762.7
Accounts receivable, net	2,138.0
Inventory	1,979.3
Property, plant and equipment, net	16,885.6
Goodwill	27,112.7
Intangible assets, net	263.7
Other assets	17,205.1
Total assets	$71,347.1

Liabilities

Line item	Amount
Accounts payable	$4,161.3
Short-term debt	653.2
Long-term debt	22,824.8
Other liabilities	18,419.4
Total liabilities	$46,058.7

Stockholders' Equity

Line item	Amount
Additional paid-in capital	$0.0
Retained earnings	22,483.2
Accumulated other comprehensive loss	(181.3)
Other equity	2,986.5
Total stockholders' equity	$25,288.4

Line item	Amount
Total liabilities and stockholders' equity	$71,347.1

Consolidated Statement of Income (in millions)

Line item	Amount
Revenue	$58,767.2
Research and development expenses	1,381.1

Line item	Amount
Other operating costs, net	50,963.8
Operating income	6,422.3
Interest expense	—
Income before income taxes	6,422.3
Income tax expense	269.4
Net income	$6,153.0

Consolidated Statement of Cash Flows (in millions)

Operating activities:

Line item	Amount
Net income	$6,153.0
Depreciation and amortization	2,327.8
Changes in working capital and other	(1,196.2)
Cash from operating activities	7,284.6

Investing activities:

Line item	Amount
Capital expenditures	(2,253.3)
Other investing activities	450.3
Cash used in investing activities	(1,803.0)

Financing activities:

Line item	Amount
Share repurchases	(2,599.8)
Other financing activities	(1,666.3)
Cash used in financing activities	(4,266.2)

Line item	Amount
Net increase in cash	$1,215.5

Notes to Consolidated Financial Statements

Note 1. Goodwill and Intangible Assets Goodwill and acquired intangible assets totaled $27,112.7 million and $263.7 million, respectively, as of December 31, 2025, together representing approximately 38.4% of total assets. We test goodwill for impairment at least annually; no impairment was recognized during fiscal 2025.

Note 2. Debt Total debt outstanding as of December 31, 2025 consisted of $653.2 million of short-term debt and $22,824.8 million of long-term debt.

Note 3. Income Taxes Our effective tax rate for fiscal 2025 was 4.2%, below the 21% U.S. federal statutory rate, primarily reflecting research and development tax credits and other tax benefits.

Note 4. Commitments and Contingencies We are subject to various claims, legal proceedings, and government contract audits arising in the ordinary course of business. We do not believe the resolution of these matters, individually or in the aggregate, will have a material adverse effect on our consolidated financial position or results of operations.